valley ruled Arakan until 1404 CE. It is only in the fourth century BCE that other sources contribute to the history of Arakan. Given that the sources or inscriptions that were excavated were written in Sanskrit, suggest that the origins of Arakan's founders were Indian, rather than Tibeto-Burman. The historical record of Arakan begins with Ananda Candra inscription (ca. 729 CE) that describes the founding of the Candra dynasty by King Dvancandra (r. ca. 370–425 CE) found in the city that has come to be known today as Dhanyawadi. Dhanyawadi, the capital of the first Arakanese kingdom is a corruption of the Pali word Dhannavati, meaning “blessed with grain.” Dhanyawadi was the center of a vast trade network that extended between China in the east and Persia and India to the west.

As power shifted from Dhanyawadi in the sixth century CE, the second Arakanese kingdom to emerge was Vesali (Wethali). The city of Vesali was founded in 788 CE by Maha Taing Candra who reigned for a period of 22 years. Situated northeast of the Sittwe River, Vesali lies 44 miles inland from the Bay of Bengal on the Ram Chaung, a tributary of the Kaladan River. Over time, the city became an important trading port. Using the wealth obtained from trade Candra kings extended their territory as far north as Chittagong. According to the Ananda Candra pillar inscription at least 22 kings reigned during the Vesali dynasty that was characterized by peace and prosperity. Archaeological and numismatic evidence indicate that Vesali's wealth was based on trade between pre-Bagan Myanmar, China and the Mons, and India, Bengal, and Persia. Buddhism thrived in Vesali as evidenced by the number of pagodas, stupas, monasteries, and shrines found throughout Vesali. Records from the Buddhist Synod convened in 638 CE indicate the presence of 1,000 Buddhist monks from Vesali. Vesali began to decline in the 10th century CE following large-scale migration of the Burman from the eastern Himalayas of the Tibetan Plateau. The dynasty came to an abrupt end in 957 CE when the Mongols killed Sula Taing Candra, the last king of the Candra dynasty. According to the Arakanese chronicles Sula Taing Candra was succeeded by Mraw Chaung Amarathu, a Mro chieftain who married Candra Devi, the widow of Sula Taing Candra. Amarathu was succeeded by his nephew Paipru. Toward the end of the 10th century, the Pyū invaded Vesali.